Removal of Aircraft and Private Munitions Plants from Jap (SC 31f)

At US request UK member agreed to ask Comm to withdraw paper, but Chi member insisted that item be retained on agenda.

Wana

894.628/6–149

The Acting Secretary of State to the Acting Political Adviser in Japan (Sebald)

SECRET WASHINGTON, June 1, 1949.

No. 116

The Acting Secretary of State refers to the Mission's No. 247 of April 21, 1949 [1] requesting the full text of the statement, attributed in a United Press report to the Special Assistant for Press Relations, on the subject of the final disposition of Formosa and the Kurile Islands. There is enclosed an extract [1] from the verbatim transcript of the Special Assistant's press conference at which this subject was briefly discussed.

The Special Assistant's remarks do not indicate a further development in the Department's policy on this problem. The Department remains of the opinion that there can be no final determination of Japan's territorial sovereignty in the absence of a peace settlement and that there are meanwhile good reasons for avoiding any expression, implied or direct, of United States views on this subject.

For the Mission's confidential guidance, however, it may be pointed out that the United States Government will give careful study to the question of supporting any Japanese claims at the peace settlement to the Habomai Group, Shikotan, Kunashiri and Etorofu. The Department supports the intention of the Mission to avoid, in the course of Headquarters exchanges with the Office of the Soviet member for the Allied Council, any action which would tend to weaken Japanese claims to the islands in question.

[1] Not printed.

[illegible]

The Acting Secretary of State to the Acting Political Adviser in Japan (Sebald)

CONFIDENTIAL WASHINGTON, June 2, 1949—7 p. m.

244. Summary FEC Mtg, May 26.

Jap Participation Intl Relations (FEC-239)

Re UK inquiry whether US contemplated Jap consuls sent or rcvd abroad, US member stated this wld be entirely matter for recipient

711.90/9-949

Memorandum of Conversation, by Mr. Marshall Green of the Division of Northeast Asian Affairs[1]

SECRET [WASHINGTON,] September 9, 1949.

Participants: Mr. Dening, Assistant Undersecretary for the Far East, UK Foreign Office
Mr. Meade, Counselor, British Embassy
Mr. Ford, First Secretary, British Embassy
Mr. Butterworth, Director, FE
Mr. Allison, Deputy Director, FE
Mr. Merchant, Deputy Director, FE
Mr. Green, NA

Mr. Dening opened the discussion by expressing concern over what he termed the relatively minor emphasis of US foreign policy on the Far East as opposed to Europe. This, he felt, stood in unhappy contrast to Soviet policy which places equal emphasis on Europe, the Middle East and the Far East, and is ever probing for weaknesses in the Western Powers' position in all those areas. According to Mr. Dening, Mr. Bevin plans to point out frankly to the Secretary that the lack of a clear US–UK Far Eastern policy is placing Mr. Bevin in an increasingly difficult political position, with his parliamentary critics making the most of this issue prior to probable early general elections.

Mr. Butterworth agreed that US Far Eastern policy has lacked the community approach of its European policy but that this has been due to the vast areas involved and to the backwardness, factionalism, poverty and strife among and within the countries concerned. Nevertheless, he added, the sum of US aid to the Far East has been formidable, even though it may suffer by comparison with Marshall Plan aid wrapped up in one large conspicuous package.

Mr. Dening said that his Government continues to regard an early Japanese treaty as essential largely because of growing Japanese restiveness under the prolonged occupation and because the Japanese can go on consuming dollars indefinitely without becoming any more friendly to the US or capable of fending for themselves. In Mr. Dening's opinion a fresh Congress might react to this situation by a refusal to appropriate adequate relief and rehabilitation funds for Japan, causing the latter to seek accommodation with Communist Asia.

Mr. Butterworth stated that the Department, aware of the desirability of an early Japanese settlement, had taken the initiative two years ago in calling a peace conference, but that a common procedural

[1] Initialed by the Director of the Office of Far Eastern Affairs (Butterworth).

denominator had not been found. Since then, he added, Communist victories in East Asia raised two questions of major substance: (*a*) Should the US proceed with treaty negotiations knowing that the USSR and Communist China will almost certainly reject treaty terms vital to US interests? (*b*) Would a peace treaty compromise US security interests in the Western Pacific?

Referring to question (*a*), Mr. Dening replied that notwithstanding the fact that there can be no meeting of the minds between the Western Powers and the USSR on a treaty draft at this time, the Western Powers should go ahead on their own, as they did in Western Germany, summoning a conference with the realization that the Soviets will not agree with the treaty terms of the Western Powers. Referring to question (*b*), he felt that US security interests could be guaranteed through a US–Japanese bilateral pact providing for post-treaty US base facilities in Japan in return for US protection of Japan; that such an arrangement would seem acceptable to the Japanese who want protection as much as they do a peace settlement. Mr. Dening added that US security interests in the Western Pacific might be further safeguarded by a US trusteeship of the Ryukyu Islands, as recommended by the Canberra Conference in 1947.

Mr. Butterworth observed that, given the quixotic attitude of certainly friendly FEC countries, the US would indeed be ill-advised to enter any peace conference without the veto unless it had firm advance assurances of support from friendly countries on the principal points of content the US would seek in that treaty. Meanwhile, he added, the US has been taking numerous steps to prepare Japan for peace treaty status—clearing up property matters, reducing the size and role of SCAP Headquarters, stabilizing the Japanese economy, and, in the face of FEC opposition, attempting to re-admit Japan gradually into the world community.

Mr. Dening replied that he was fairly certain the Commonwealth countries would have no objections to post-treaty US bases in Japan and that they could be induced to accept the liberal, non-punitive type of treaty which the US evidently has in mind. But, he said, Whitehall shares the Commonwealths' opposition to current US piecemeal steps to do what the peace treaty should do.

Mr. Butterworth reiterated that all the steps he enumerated the US as taking or attempting to take in advance of a treaty were part of the treaty problem: the sooner they were cleared up, the simpler the treaty negotiations would be and the easier Japan's transition to sovereign status. He ventured that a treaty concluded a year or two ago without these advance steps might well have been premature. Mr. Butterworth expressed some doubt that the representatives of countries like the Philippines, whose hostility to Japan is deep-seated, could be induced to accept a liberal draft, that through fear of Japa-

nese military resurgence they might even support the USSR and China in demanding treaty provisions requiring the destruction of all military installations in Japan including those which the US might wish to maintain in the post-treaty period.

Asked if it is still British policy to impose treaty limitations on Japanese industry and merchant shipping, Mr. Dening replied in the affirmative, though Mr. Ford noted that the UK is proposing no limitations on the Japanese textile industry. Mr. Dening asserted that a change in UK policy on this question is possible although the ministerial committee responsible would not do so unless there were broad policy considerations involved such as a US proposal for a peace treaty.

Mr. Allison asked whether it was Mr. Dening's estimate that the Commonwealth countries would be willing in the post-treaty period to take more of Japan's exports as a preventative against solid economic and subsequent political ties between Japan and Communist Asia. Mr. Dening indicated that the whole question of post-treaty economic relations between Japan and Communist Asia had not been fully explored in London. It was his feeling, however, that Japanese exports to non-Communist areas would increase as wartime animosities abated since there are heavy demands in these areas for the capital goods which Japan can most economically produce. Mr. Dening did not see any point in attempting to prevent Japanese trade with Communist China. He believed that the Western Powers should be resigned to the bad political influence which that trade would perforce have on Japan.

Mr. Butterworth stated that before entering a treaty at this time—a step he said he was not necessarily advocating—the US would have to reckon with other questions, such as: (1) Would the US Congress slash economic aid to Japan once the US occupation terminated? (2) What are the dangers inherent in the conclusion of a treaty without Japan's two big neighbors participating? (3) Whether or not the USSR participated in the peace conference, how could the US be assured of gaining its security requirements in the treaty?

Mr. Dening replied to question (1) by saying that the Congress would probably continue a measure of aid to Japan as long as the US had important commitments there such as base facilities. Referring to question (2), he argued that the only real danger of concluding a treaty without the USSR and Communist China would be Soviet propaganda directed principally toward Japan. This danger seemed to him largely mitigated, however, by what he termed the strong dependence of Japan on the US for defense, economic aid and trade. He felt that in any propaganda war over Japan the balance would be "heavily" in favor of the US. As for question (3), Mr. Dening contended that advance diplomatic-level conversations with friendly FEC

countries would probably develop the necessary support for the main provisions the US would seek in the treaty; that, having assurances of such support, the US could then call a conference which the USSR could hardly refuse on procedural grounds to attend; that if the USSR refused to accept the will of the majority of countries present, the majority should proceed with the conclusion of a treaty with Japan, on their terms, without the USSR; and that, in any case, the US would actually have the power of veto through its ability to refuse to ratify the treaty.

Mr. Butterworth questioned whether the balance in the propaganda war for Japan would be "heavily" on the US side, although he granted that a liberal, non-punitive treaty between the democratic powers and Japan would strengthen the US hand immeasurably in any such propaganda war. He also questioned whether it could be fairly stated that through ratification the US and other countries possess the final power of veto, it being current practice in treaty-making to provide that the treaty will come into effect when half (or two thirds) of the participating powers ratify it.

It was generally agreed that there is no entirely satisfactory formula for deciding which countries should be invited to the peace conference. Mr. Dening was prone to favor the invitation of the FEC countries plus Pakistan and Burma—the latter because they had applied some time ago for FEC membership. Recognizing the possibility of the emergence of Indonesia and/or Indochina as sovereign states, Mr. Meade considered that all countries which had actually waged, not just declared, war on Japan should be asked to the conference. Mr. Butterworth pointed out that this formula would admit Mexico and possibly other countries having remote interests in the Far East, a situation which would be resented by the Asiatics. Mr. Butterworth also called attention to the probability that the USSR would demand Chinese Communist participation in the peace conference and that the USSR would have good propaganda material for ridiculing any conference to which representatives of the *de facto* government of Japan's greatest neighbor were not invited.

In reply to a question by Mr. Merchant, Mr. Dening disclosed that a special Whitehall planning group had at one time worked on a Japanese treaty draft but that this group had been dissolved about 18 months ago when treaty prospects dimmed. He indicated that his Government has at present no draft treaty to discuss with the US.

(The conversation turned at this point to the subject of Formosa.)[2]

[2] See memorandum of September 9, vol. IX, p. 388.